TOTAL ECONOMIC IMPACT

The Total Economic Impact™ Of MetricStream Enterprise GRC

A FORRESTER TOTAL ECONOMIC IMPACT STUDY COMMISSIONED BY METRICSTREAM, MARCH 2026

COST SAVINGS AND BUSINESS BENEFITS ENABLED BY ENTERPRISE GRC

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Executive Summary

Organizations are facing increasingly complex, rapidly evolving governance, risk, regulatory, and corporate compliance requirements, as well as growing geopolitical and IT, operational technology (OT), and cyber risks. This environment is forcing firms to rethink their audit, risk management, and compliance approaches. Corporate leaders increasingly view trust and integrity as a competitive advantage, supported by mature risk, compliance, and audit management functions. Technology is reshaping every component of governance, risk, and compliance (GRC), from risk assessment to compliance monitoring to audits. Cloud-based GRC platforms with AI capabilities are becoming the norm as organizations seek a unified system that integrates all GRC workflows, improves collaboration, and is scalable and flexible to changing demands.

MetricStream's Enterprise GRC platform (Enterprise GRC) provides a unified cloud-based GRC system that improves regulatory and internal control compliance, risk management, and audits. Enterprise GRC enables the standardization of policies, risks, and controls while improving risk, compliance, and audit processes. Real-time visibility and AI capabilities lead to actionable insights and greater confidence from internal stakeholders and regulators.

MetricStream commissioned Forrester Consulting to conduct a Total Economic Impact™ (TEI) study and examine the potential return on investment (ROI) enterprises may realize by deploying Enterprise GRC.[1] The purpose of this study is to provide readers with a framework to evaluate the potential financial impact of Enterprise GRC on their organizations.

133%

Return on investment (ROI)

$4.8M

Net present value (NPV)

To better understand the benefits, costs, and risks associated with this investment, Forrester interviewed four decision-makers with experience using Enterprise GRC. For the purposes of this study, Forrester aggregated the experiences of the interviewees and combined the results into a single composite organization — a global, $20 billion company in the highly regulated financial services industry that uses a mix of disparate GRC tools and has an overreliance on manual workflows.

Interviewees said that prior to using MetricStream's Enterprise GRC, their organizations did not have a unified GRC platform; instead, they used a combination of disparate solutions and spreadsheets, emails, and other unstructured document storage. This resulted in inconsistent risk management, redundant data entry, quality issues, and a limited ability to effectively understand GRC at either a regional or corporate level.

After the investment in Enterprise GRC, the interviewees' organizations implemented a single, cloud-based GRC solution that functioned on a global scale. Key results from the investment include standardization of policies, risks, and controls; labor savings through automation; redundant input elimination; and collaboration improvement across geographies and organizations. Additionally, improved visibility and proactive AI-driven analyses reduced compliance fines, costly financial incidents, and reputational damage.

Reduction in risk of fines as a result of MetricStream's impact on GRC modernization

6.6%

Key Findings

Quantified benefits. Three-year, risk-adjusted present value (PV) quantified benefits for the composite organization include:

- **Avoided costs across all GRC-related activities of $4.2 million.** The composite organization sees a significant reduction in duplicative data input and reporting work that previously occurred across audit, risk, policy, compliance, and investigations. The standardization of processes, controls, risks, assessments, and response plans provides additional efficiencies while identifying and focusing on what is essential for compliance and risk management.
- **Eliminated legacy technology, infrastructure, and related administrative costs, saving $2.3 million.** The composite organization deprecates multiple legacy GRC-related tools and reduces infrastructure and associated IT administration costs for such tools and infrastructure, saving more than $300,000 and two-thirds of an FTE on average per decommissioned tool.
- **Reduced risk of violations, fines, and reputational damage worth $2.0 million.** Enterprise GRC helps the composite organization be proactive in meeting regulatory requirements and preventing financial incidents, developing remediation plans to address issues that arise, and taking action more quickly and effectively when issues occur. As such, a 6.6% reduction in the risk of regulatory fines and its associated market fallout is attributed to Enterprise GRC.

Unquantified benefits. Benefits that provide value for the composite organization but are not quantified for this study include:

- **Centralized source of truth.** With Enterprise GRC, the composite achieves a significant strategic goal: an up-to-date, centrally managed and accessible store of risks, controls, and policies that ensure the entire organization is up to speed and consistent with its GRC approach. This core achievement facilitates almost every other benefit, such as increased labor savings, better decision-making, improved collaboration, and reduced risk of compliance violations.
- **Enabled exploratory AI use cases.** By leveraging Enterprise GRC as the system of record as well as the structured data source, the composite can explore AI use cases that its scattered GRC data before MetricStream made impossible. Solutions include a recommended actions engine, a conversational policy search solution, and an automated document/text ingestion solution for control development.
- **Improved collaboration across regions and roles.** Thanks to the centralization of GRC data and workflows, the composite improves its internal constituents' abilities to collaborate across roles, teams, and regions. Furthermore, the composite can directly collaborate with its external auditors and provide read-only access to the data they need.
- **Deduplication of risk register and controls inventory.** Similarly, centralization of GRC data enables the composite to rationalize its risk register and controls inventory, reducing the number its GRC team manages and tests by more than 50%. This reduction enables the GRC team and executive leadership to focus on core material risks and controls, while also providing time savings for documenting risks and controls, performing risk assessments, controls effectiveness testing, mitigation planning, and risk reporting.
- **Increased regulator and customer trust.** By enabling collaboration with regulators and providing them direct, controlled data access, the composite builds trust that improves their relationship. Furthermore, having a better understanding of its customer-related GRC data and improving collaboration with respect to such data improves the composite's ability to protect it, and hence its customers and their privacy, thereby also improving customer trust.

Costs. The risk-adjusted PV costs for the composite organization include:

- **Total MetricStream licensing and premium support costs of $2.9 million over three years.** The composite organization experiences costs associated with Enterprise GRC licensing fees and premium support, which cost approximately $1.1 million annually.
- **Total implementation costs of $400,000.** The composite organization implements the solution globally, incurring costs associated with platform configuration; module implementation; and risk, policy, and compliance data taxonomy and governance alignment.
- **Total administration and training costs of $288,000.** The composite organization incurs ongoing labor costs to administer the solution worth $50,000 annually. Training is comprehensive for first-line users; it costs $100,000 initially and $15,000 annually.

The financial analysis that is based on the interviews found that a composite organization experiences benefits of $8.4 million over three years versus costs of $3.6 million, adding up to a net present value (NPV) of $4.9 million and an ROI of 133%.

> *"We shifted from very fragmented and low-maturity processes to a system where all major GRC activities are centrally recorded and reported."*
>
> **Head of compliance technology and enablement, insurance**

> *"We now have a single, disciplined, end-to-end risk methodology and governance structure that actually works."*
>
> **Head of compliance analytics, banking**

Key Statistics

133%

Return on investment (ROI)

$8.4M

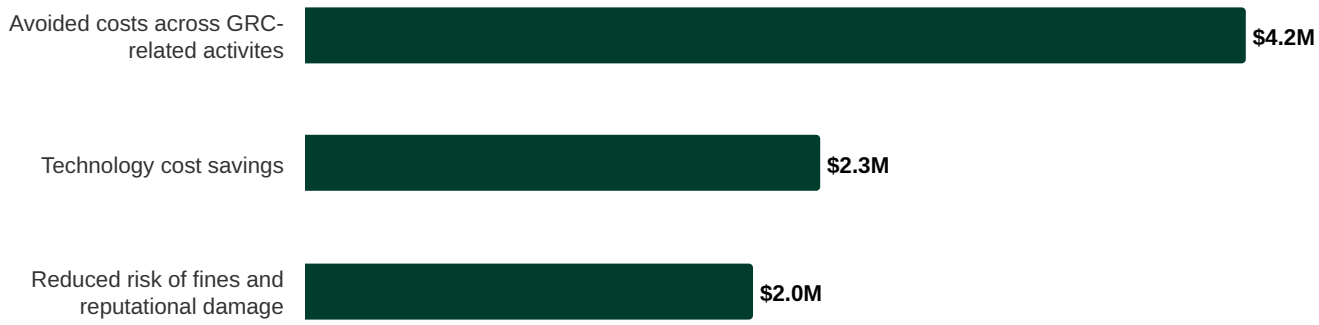
Benefits PV

$4.8M

Net present value (NPV)

<6 months

Payback



The MetricStream Enterprise GRC Customer Journey

Drivers leading to the Enterprise GRC investment

Interviews			
Role	**Industry**	**Region**	**Annual revenue**
Global operational risk management director	Banking	Global	$20 billion
Audit and compliance technology and operations director	Healthcare	United States	$40 billion
Head of compliance analytics	Banking	Europe	$10 billion
Head of compliance technology and enablement	Insurance	Global	$70 billion

Key Challenges

Interviewees described a lack of standard policies, risks, controls, and processes throughout their organizations. Disparate solutions across departments and geographies, combined with information stored in spreadsheets or emails, minimized the visibility necessary to effectively meet compliance requirements and control risks.

> *"We had no alignment on what we understood as risks. There were different risk scales, different impact scales, and different likelihood scale."*
>
> **Head of compliance analytics, banking**

Interviewees noted how their organizations struggled with common challenges, including:

- **Scattered GRC data.** Interviewees' respective organizations suffered from scattered and disorganized GRC data environments before adopting Enterprise GRC. This in turn created several challenges, including a lack of visibility, an inability to create or enforce common standards, and an inability to effectively collaborate across departments or regions. The inability to connect risks, controls, processes, and assessments had negative repercussions on risk prevention, incident responses, and general strategy-setting.
- **Manual GRC data workflows.** The interviewees revealed that weaknesses in their organizations' legacy GRC tools led to an extensive use of spreadsheets, bottom-up process development, and knowledge-sharing via email. These approaches engendered personal and institutional knowledge regarding GRC processes, which then created key-person risks and roadblocks to GRC modernization. The interviewees' organizations were once again challenged to set common standards, improve GRC data-related processes, and improve their compliance and risk postures.
- **Unacceptable risk prevention and response.** Interviewees shared that the disparate solutions and manual data capture harmed their organizations' ability to identify risks, issues that created risk, controls that effectively manage such risk, and ways to effectively respond to risks that become incidents, all in a timely manner. As a result, their relationships with regulators and customers suffered and some experienced frequent regulatory penalties with the associated customer fallout.

> *"Compliance was very, very far from best in class. Assurance testing was not even there. … When regulators come now, we walk them through [Enterprise] GRC and they are happy."*
>
> **Head of compliance technology and enablement, insurance**

Composite Organization

Based on the interviews, Forrester constructed a TEI framework, a composite company, and an ROI analysis that illustrates the areas financially affected. The composite organization is representative of the interviewees' organizations, and it is used to present the aggregate financial analysis in the next section. The composite organization has the following characteristics:

- **Description of composite.** The composite is a global business with annual revenue of $20 billion. It operates in financial services, a highly regulated industry. The organization had a blend of disparate GRC tools but performed a significant portion of manual work using spreadsheets, emails, and content management systems that made up for the features its legacy tooling lacked. Before implementing Enterprise GRC, the organization estimated annual losses of $5 million in total regulatory penalties and remediation costs plus lost revenue as a result of reputational damage of $10 million.
- **Deployment characteristics.** The composite implements Enterprise GRC utilizing an agile approach, implementing two to three modules per quarter. User onboarding begins six months into the implementation phase, with full deployment completed after 15 months.

KEY ASSUMPTIONS

- $20 billion global corporation in highly regulated industry
- Blend of disparate GRC tools with significant use of spreadsheets, emails, and content management systems
- $5 million average annual regulatory penalty and remediation costs
- $10 million annual risk of reputational damage from fines

Analysis Of Benefits

Quantified benefit data as applied to the composite

Total Benefits						
Ref.	**Benefit**	**Year 1**	**Year 2**	**Year 3**	**Total**	**Present Value**
Atr	Avoided costs across GRC-related activities	$1,292,000	$1,904,000	$1,904,000	$5,100,000	$4,178,603
Btr	Technology cost savings	$555,300	$1,110,600	$1,110,600	$2,776,500	$2,257,080
Ctr	Reduced risk of fines and reputational damage	$792,000	$792,000	$792,000	$2,376,000	$1,969,587
	Total benefits (risk-adjusted)	$2,639,300	$3,806,600	$3,806,600	$10,252,500	$8,405,270

Avoided Costs Across GRC-Related Activities

Evidence and data. The interviewees shared that Enterprise GRC enabled their GRC teams to become increasingly productive in their roles, allowing their organizations to save on costs associated with additional hires. Enterprise GRC provided their organizations with a centralized, shared, governed platform for risk, controls, and compliance assessments, replacing fragmented processes, scattered data and documentation, manual reporting, and reconciliation and restatement work. As such, employees spent far less time gathering, normalizing, reconciling, and manipulating data and more time on actual risk and compliance analysis.

> *"There were a lot of people doing a lot of very manual processes, taking a long, long time."*
>
> **Audit and compliance technology and operations director, insurance**

Centralization on a governed platform not only reduced the amount of data searching, manipulation, and reconciliation but also enabled GRC teams at the interviewees' organizations to consolidate controls, policies, and risks, removing duplicates and aligning taxonomies and processes. For example, the Head of compliance analytics at the European banking organization reduced the risks they regularly tracked by between 73% and 76%, with a focus on the most material risks. Similarly, the global operational risk management director from the global banking organization reported reducing the number of controls they had to track for effective risk mitigation by more than 50%.

> *"We've been able to narrow down the number of risks we track. Many before were 'nitty-gritty' items, not real risks. We cleaned them up so that now we track only around 4,000 real risks that matter."*
>
> **Head of compliance analytics, banking**

Lastly, with data readily available, GRC teams reduced the time they spent on reporting workflows and audits while increasing report quality and audit results. For example, the head of compliance technology and enablement from the global insurer said, "Quarterly reports that previously required weeks of manual aggregation are now prepared in one to two days." The director at the healthcare company said, "Enterprise GRC helped establish an RPA-integrated workflow that saved us 1,800 hours annually on universe validation."

> *"Reporting that once required 400 people to work on over two to three weeks is now done in one to two days because we have all the data at hand."*
>
> **Head of compliance technology and enablement, insurance**

Modeling and assumptions. For the composite organization, Forrester models the following:

- Data management process improvements in Year 1 are equivalent to avoiding six FTEs on an ongoing basis. Two additional FTEs are avoided by Year 2 on an ongoing basis.
- Risk, policy, and control management process improvements in Year 1 are equivalent to avoiding two FTEs on an ongoing basis. One additional FTE is avoided by Year 2 on an ongoing basis.
- Reporting and audit process improvements in Year 1 are equivalent to avoiding two FTEs on an ongoing basis. One additional FTE is avoided by Year 2 on an ongoing basis.
- The average fully burdened annual salary for GRC team members is $160,000.

Risks. This benefit may vary across organizations due to:

- The maturity of existing GRC tools and cross-departmental collaboration.
- Current team size and maturity of current GRC processes and talent.
- The regulatory environment in any given authority and industry.
- Variations in labor costs and labor regulations.

Results. To account for these risks, Forrester adjusted this benefit downward by 15%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $4.2 million.

> *"We had close to 5,000 key controls across the bank, and through the rationalization and standardization effort, we brought that down to about 2,400 controls."*
>
> **Global operational risk management director, banking**

Avoided Costs Across GRC-Related Activities					
Ref.	**Metric**	**Source**	**Year 1**	**Year 2**	**Year 3**
A1	Labor savings by eliminating redundant input (FTEs)	Interviews	6	8	8
A2	Labor savings in risk, policy, and control management (FTEs)	Interviews	2	3	3
A3	Labor savings in reporting and audit processes (FTEs)	Interviews	2	3	3
A4	Average fully burdened annual salary for GRC team members	Composite	$160,000	$160,000	$160,000
At	Avoided costs across GRC-related activities	(A1+A2+A3)*A4	$1,520,000	$2,240,000	$2,240,000
	Risk adjustment	↓15%			
Atr	Avoided costs across GRC-related activities (risk-adjusted)		$1,292,000	$1,904,000	$1,904,000
	Three-year total: $5,100,000			**Three-year present value: $4,178,603**	

Technology Cost Savings

Evidence and data. The interviewees noted how their organizations reduced the cost of legacy technology tools and their associated infrastructure and labor. For example, the director at the healthcare organization reported replacing several preexisting technologies with Enterprise GRC, including a legacy GRC solution, an HR policy system, and hundreds of intranet sites.

Other interviewees reported replacing tools and solutions such as internal controls repositories, database management systems, homegrown GRC systems, myriad spreadsheets, and other disaggregated data tracking systems.

Importantly, before implementing Enterprise GRC, the interviewees incurred the above technology expenses and still heavily relied on manual processes for data cleansing; data entry; record maintenance; risk, policy, and control management and testing; risk assessments; reporting; and audit-related work.

> *"We expect to see about a 20% reduction in steady-state effort for risk-assessment maintenance with Enterprise GRC compared to our homegrown solution."*
>
> **Head of compliance analytics, banking**

Modeling and assumptions. For the composite organization, Forrester models the following:

- The composite replaces a legacy GRC solution in Year 1, saving $500,000 annually.
- When it decommissions the legacy GRC solution, the composite also recognizes savings on the associated labor, equivalent to one system administrator FTE who has an average fully burdened annual salary of $117,000.
- The composite organization keeps two tools related to compliance management, audit and issue tracking, risk-related workflows, documentation management, and process oversight through Year 1. Upon decommissioning these tools starting in Year 2, it saves an additional $500,000. The composite then also realizes labor savings equivalent to one additional system administrator.

Risks. This benefit may vary across organizations due to:

- The number and mix of homegrown and vendor GRC solutions.

- The mix of cloud versus on-premises solutions.
- The amount of data aggregation.

Results. To account for these risks, Forrester adjusted this benefit downward by 10%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $2.3 million.

Technology Cost Savings					
Ref.	**Metric**	**Source**	**Year 1**	**Year 2**	**Year 3**
B1	Previous solution licensing and infrastructure costs	Interviews	$500,000	$1,000,000	$1,000,000
B2	Associated labor costs	Interviews	$117,000	$234,000	$234,000
Bt	Technology cost savings	B1+B2	$617,000	$1,234,000	$1,234,000
	Risk adjustment	↓10%			
Btr	Technology cost savings		$555,300	$1,110,600	$1,110,600
	Three-year total: $2,776,500		**Three-year present value: $2,257,080**		

Reduced Risk Of Fines And Reputational Damage

Evidence and data. The interviewees shared how consolidating data and processes under MetricStream's Enterprise GRC improved their organizations' risk and compliance postures and reduced the likelihood of future violations. With regard to customers, the interviewees reported that Enterprise GRC improved risk management, control monitoring, issue tracking, due-date management, and visibility across subsidiaries, which reduced risk, audit likelihood, and the possibility of repeating prior failures in different departments. By building RPA processes on top of Enterprise GRC, the interviewees shared that files matched the format required by regulatory standards and reduced the risk of oversight-related penalties. By linking risks, processes, policies, controls, and incidents together, they improved discipline and data quality, which reduced regulatory exposure.

Relative specifically to auditors, Enterprise GRC enabled the interviewees' organizations to provide direct, read-only access to centralized, timestamped, and sourced risk and compliance data. Regulators could be certain that the organizations were using standardized definitions, taxonomies, and processes, effectively matching regulations.

Lastly, Enterprise GRC provided regulators with an enterprisewide view into processes and controls linked to risks. The Head of compliance analytics from the banking sector shared, "Regulators want to know you've covered your entire organization. We can now demonstrate that clearly."

> *"We now pass our program audit every time. This tool plays a huge part in that."*
>
> **Audit and compliance technology and operations director, healthcare**

Modeling and assumptions. For the composite, Forrester models the following:

- The average total cost of regulatory penalties, including fines and internal costs to remediate, is $5,000,000 annually.
- The composite loses an average of $10,000,000 annually from reduced revenue or customer loyalty due to reputational damage.
- Modernization of GRC practices leads to a 20% reduction in the likelihood of a violation.

- Thirty-three percent of this reduction is attributable to technologies like MetricStream as opposed to people and processes.
- The reduction in the likelihood of a violation attributable to MetricStream Enterprise GRC is 6.6% (20% x 33%).

Risks. This benefit may vary across organizations due to:

- The prior state of GRC-related people, processes, and technology.
- The average incident rate, fine amount, and reputational damage sustained based on geography and industry.

Results. To account for these risks, Forrester adjusted this benefit downward by 20%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $2.0 million.

Reduced Risk Of Fines And Reputational Damage					
Ref.	**Metric**	**Source**	**Year 1**	**Year 2**	**Year 3**
C1	Average cost of regulatory penalties (fines and internal costs to remediate)	Composite	$5,000,000	$5,000,000	$5,000,000
C2	Average cost of reputational damage from lost revenue	Composite	$10,000,000	$10,000,000	$10,000,000
C3	Reduction in risk of fines as a result of GRC modernization attributable to MetricStream Enterprise GRC	Composite	6.6%	6.6%	6.6%
Ct	Reduced risk of fines and reputational damage	(C1+C2)*C3	$990,000	$990,000	$990,000
	Risk adjustment	20%			
Ctr	Reduced risk of fines and reputational damage (risk-adjusted)		$792,000	$792,000	$792,000
	Three-year total: $2,376,000			**Three-year present value: $1,969,587**	

Unquantified Benefits

Interviewees mentioned the following additional benefits that their organizations experienced but were not able to quantify:

- **Centralized source of truth.** Interviewees often stated that their organizations' ultimate goal for investing in MetricStream's Enterprise GRC solution was to centrally locate and share consistent, high-quality information across their entire enterprises. Having holistic organizational GRC data available led to better and faster decision-making. The director at the healthcare company shared, "Enterprise GRC enables us to make faster decisions because we can see everything across the whole company."

> *"Enterprise GRC has become the golden source of data for us. We are getting consistent, high-quality data across over 40 countries."*
>
> **Head of compliance technology and enablement, insurance**

- **Enabled early AI solutions.** By having clean, consistent data flowing through GRC processes, the interviewees' organizations were able to standardize workflows for testing, issues, actions, and policies. This standardization enabled their GRC teams to pilot new AI solutions to help employees retrieve policy guidance more easily, interpret documents faster, and generate suggested remediation actions based on past patterns. The interviewees emphasized these capabilities are early-stage and exploratory, but shared that having structured, daily GRC data available is what makes this experimentation possible across their global teams. The head of compliance technology and enablement at an insurance organization shared, "Because all our

compliance work now follows the same structure in the GRC platform, we finally have the foundation to start experimenting with AI — whether that's helping people find policy answers faster or suggesting actions based on what's worked before."

- **Improved collaboration across regions and roles.** Interviewees noted experiencing improvements to cross-region and cross-departmental collaboration. Decision-makers in different units could collaborate more effectively because they had a shared, consistent picture of the state of their GRC practices. The director at the healthcare company shared: "Leaders can see everything at the parent level all the way down through the subsidiaries, including deficiencies, risks, due dates, and lateness. ... If an issue occurs in one unit, others can see how it was remediated and reuse the approach." The global operational risk management director from the North American banking organization said, "The bank now establish[es] a consistent, enterprisewide set of definitions around operational risk, so teams are all singing off the same song sheet."
- **Improved ability to collaborate with regulators directly.** Importantly, and as alluded to earlier, the interviewees noted an improvement in their ability to collaborate with regulators. The head of compliance technology and enablement at the insurance organization shared, "Regulators can sample evidence directly in the tool — reviews that used to take much longer now finish in an afternoon." This reduced friction for all involved, including compliance, risk, legal, and local country teams.

> *"We now have integration across our process landscape. Not a lot of banks in Europe can do this."*
>
> **Head of compliance analytics, banking**

- **Deduplication of risk register and controls inventory.** Interviewees discussed how their organizations reduced the number of risks and controls they worked with by more than 50%, providing time savings to a number of workflows and enabling sharper focus on truly important details from a risk and risk mitigation perspective.
- **Increased regulator and customer trust.** Interviewees described trust improving with regulators and customers. The insurance company's head of compliance technology and enablement shared, "Regulators now receive direct walkthroughs in the GRC, and inspections can be satisfied in as little as 2 hours because everything is fully documented." They attributed their strong regulator relationships to better insight, better documentation, fewer repeat issues, and faster remediation thanks to MetricStream's Enterprise GRC solution. Regarding customer trust, the director at the healthcare company noted better protection of member data (especially in the context of third-party oversight and preventing potential breaches), more consistency of compliance culture from the CEO downward (which reinforces public trust through strong governance), and stronger controls across subsidiaries (which improves enterprise reliability and reduces risk exposure), all thanks to MetricStream.

Flexibility

The value of flexibility is unique to each customer. There are multiple scenarios in which a customer might implement MetricStream's Enterprise GRC and later realize additional uses and business opportunities, including:

- **Key-person risk resiliency.** Interviewees noted that MetricStream's Enterprise GRC improved organizational flexibility by defending against key-person risk. Before MetricStream, the organizations depended on key employees who had specific knowledge or skill sets related to how data should be restated; how processes ran across spreadsheets, databases, and other disparate GRC data sources; and how to reformat siloed data in consistent reporting frameworks. After the investment, there existed a central repository for controls, deficiencies, and risks; a unified taxonomy of risk, products, and processes; and a standard way to document, track, and share all of these. The global operational risk management director from the North American bank shared: "Before, we would lose a key person with a certain skill set and there would be an impact, a cost to us, of losing that knowledge. With Enterprise GRC, we've come a long way in our maturity with respect to that operational risk."

- **Scale.** Interviewees shared how MetricStream's Enterprise GRC solution was able to scale with their use cases and needs. For example, the director at the healthcare organization said: "Scaling to 4,000-plus core users, 14,000 total users, and multiple subsidiaries wasn't hard at all. We just add a new branch within the system. It's very easy." Similarly, the global operational risk management director from the North American banking organization reported leveraging Enterprise GRC's single enterprise taxonomy, single control library, and consolidated risk methodology to scale across seven strategic business units and multiple geographies.

Flexibility would also be quantified when evaluated as part of a specific project (described in more detail in Total Economic Impact Approach).

Analysis Of Costs

Quantified cost data as applied to the composite

Total Costs							
Ref.	**Cost**	**Initial**	**Year 1**	**Year 2**	**Year 3**	**Total**	**Present Value**
Dtr	MetricStream licensing and support costs	$0	$1,155,000	$1,155,000	$1,155,000	$3,465,000	$2,872,314
Etr	Implementation costs	$440,000	$0	$0	$0	$440,000	$440,000
Ftr	Administration and training costs	$110,000	$71,500	$71,500	$71,500	$324,500	$287,810
	Total costs (risk-adjusted)	$550,000	$1,226,500	$1,226,500	$1,226,500	$4,229,500	$3,600,124

MetricStream Licensing And Support Costs

Evidence and data. The interviewees noted paying slightly less for MetricStream's Enterprise GRC than they paid for prior, decommissioned solutions, while also getting more value out of the new solution. In particular, the interviewees appreciated the predictability of Enterprice GRC licensing. The director at the healthcare organization said: "We're going on our fourth master service agreement renewal. I can't remember the last time we had a contentious contract negotiation."

Modeling and assumptions. Based on the interviews, Forrester assumes that the composite organization pays a base licensing and support cost of $1,100,000 per year.

Risks. This cost may vary across organizations due to:

- Pricing and customized solution scope.
- Level of paid support.

Results. To account for these risks, Forrester adjusted this cost upward by 5%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $2.9 million.

MetricStream Licensing And Support Costs						
Ref.	**Metric**	**Source**	**Initial**	**Year 1**	**Year 2**	**Year 3**
D1	MetricStream licensing and support costs	Interviews	$0	$1,100,000	$1,100,000	$1,100,000
Dt	MetricStream licensing and support costs	D1	$0	$1,100,000	$1,100,000	$1,100,000
	Risk adjustment	↑5%				
Dtr	MetricStream licensing and support costs (risk-adjusted)		$0	$1,155,000	$1,155,000	$1,155,000
	Three-year total: $3,465,000			**Three-year present value: $2,872,314**		

Implementation Costs

Evidence and data. The interviewees described costs related to implementing the Enterprise GRC platform. Their organizations either ran self-implementations with on-site assistance from MetricStream employees or used solutions partners. Implementation timelines ranged from less than one year to 18 months depending on the method and number of modules designated at launch.

Modeling and assumptions. Based on the interviews, Forrester assumes that the composite incurs implementation costs of $400,000 in the initial period for platform rollout; module implementation; technical development and integrations; and risk, policy, and compliance data taxonomy and governance alignment.

Risks. This cost may vary across organizations due to:

- The number of selected modules and the complexity of any data integrations.
- The extent and complexity of existing data taxonomies and governance programs.

Results. To account for these risks, Forrester adjusted this cost upward by 10%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $440,000.

> *"We implemented [Enterprise] GRC in an agile way. Every two to three months, we implemented a module and we went to production in less than a year."*
>
> **Head of compliance technology and enablement, insurance**

Implementation Costs						
Ref.	**Metric**	**Source**	**Initial**	**Year 1**	**Year 2**	**Year 3**
E1	Implementation costs	Composite	$400,000	$0	$0	$0
Et	Implementation costs	E1	$440,000	$0	$0	$0
	Risk adjustment	↑10%				
Etr	Implementation costs (risk-adjusted)		$440,000	$0	$0	$0
	Three-year total: $440,000			**Three-year present value: $440,000**		

Administration And Training Costs

Evidence and data. Lastly, the interviewees reported incurring costs related to platform administration and employee training. They shared needing less than one FTE to administer and manage Enterprise GRC, help maintain ongoing data quality, and keep the system up to date. They needed training for first-line users due to the technical nature of the platform and the data it leveraged. Such users needed to understand the new governance systems, perform risk assessments correctly, use MetricStream instead of the spreadsheets they were used to, and follow new, standardized methodologies to achieve the organizationwide benefits of the Enterprise GRC platform.

Modeling and assumptions. Based on the interviews, Forrester assumes the following about the composite organization:

- Average annual administrative costs of $50,000.
- Initial training costs of $100,000 and $15,000 per year in subsequent years.

Risks. This cost may vary across organizations due to:

- The number of core users and other users.
- User acceptance of change.

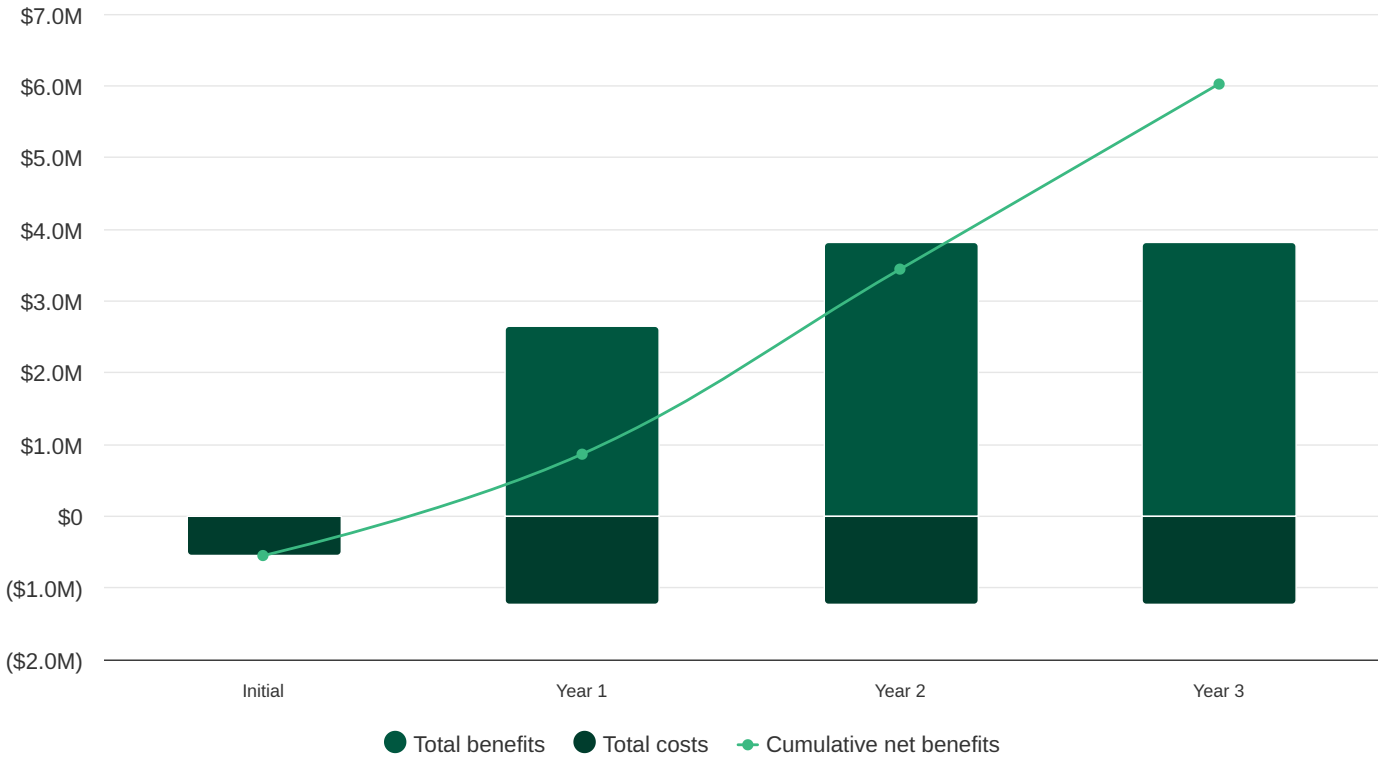
Results. To account for these risks, Forrester adjusted this cost upward by 10%, yielding a three-year, risk-adjusted total PV (discounted at 10%) of $288,000.

Administration And Training Costs						
Ref.	**Metric**	**Source**	**Initial**	**Year 1**	**Year 2**	**Year 3**
F1	IT administration costs	Composite	$0	$50,000	$50,000	$50,000
F2	Training costs	Composite	$100,000	$15,000	$15,000	$15,000
Ft	Administration and training costs	F1+F2	$100,000	$65,000	$65,000	$65,000
	Risk adjustment	↑10%				
Ftr	Administration and training costs (risk-adjusted)		$110,000	$71,500	$71,500	$71,500
	Three-year total: $324,500			**Three-year present value: $287,810**		

Financial Summary

Consolidated Three-Year, Risk-Adjusted Metrics

Cash Flow Chart (Risk-Adjusted)



Cash Flow Analysis (Risk-Adjusted)						
	Initial	Year 1	Year 2	Year 3	Total	Present Value
Total costs	($550,000)	($1,226,500)	($1,226,500)	($1,226,500)	($4,229,500)	($3,600,124)
Total benefits	$0	$2,639,300	$3,806,600	$3,806,600	$10,252,500	$8,405,270
Net benefits	($550,000)	$1,412,800	$2,580,100	$2,580,100	$6,023,000	$4,805,146
ROI						133%
Payback						<6 months

Please Note

The financial results calculated in the Benefits and Costs sections can be used to determine the ROI, NPV, and payback period for the composite organization's investment. Forrester assumes a yearly discount rate of 10% for this analysis.

These risk-adjusted ROI, NPV, and payback period values are determined by applying risk-adjustment factors to the unadjusted results in each Benefit and Cost section.

The initial investment column contains costs incurred at "time 0" or at the beginning of Year 1 that are not discounted. All other cash flows are discounted using the discount rate at the end of the year. PV calculations are calculated for each total cost and benefit estimate. NPV calculations in the summary tables are the sum of the initial investment and the discounted cash flows in each year. Sums and present value calculations of the Total Benefits, Total Costs, and Cash Flow tables may not exactly add up, as some rounding may occur.

TEI Framework And Methodology

From the information provided in the interviews, Forrester constructed a Total Economic Impact™ framework for those organizations considering an investment in Enterprise GRC.

The objective of the framework is to identify the cost, benefit, flexibility, and risk factors that affect the investment decision. Forrester took a multistep approach to evaluate the impact that Enterprise GRC can have on an organization.

Due Diligence

Interviewed MetricStream stakeholders and Forrester analysts to gather data relative to Enterprise GRC.

Interviews

Interviewed four decision-makers at organizations using Enterprise GRC to obtain data about costs, benefits, and risks.

Composite Organization

Designed a composite organization based on characteristics of the interviewees' organizations.

Financial Model Framework

Constructed a financial model representative of the interviews using the TEI methodology and risk-adjusted the financial model based on issues and concerns of the interviewees.

Case Study

Employed four fundamental elements of TEI in modeling the investment impact: benefits, costs, flexibility, and risks. Given the increasing sophistication of ROI analyses related to IT investments, Forrester's TEI methodology provides a complete picture of the total economic impact of purchase decisions. Please see Appendix A for additional information on the TEI methodology.

Glossary

Total Economic Impact Approach

Benefits

Benefits represent the value the solution delivers to the business. The TEI methodology places equal weight on the measure of benefits and costs, allowing for a full examination of the solution's effect on the entire organization.

Costs

Costs comprise all expenses necessary to deliver the proposed value, or benefits, of the solution. The methodology captures implementation and ongoing costs associated with the solution.

Flexibility

Flexibility represents the strategic value that can be obtained for some future additional investment building on top of the initial investment already made. The ability to capture that benefit has a PV that can be estimated.

Risks

Risks measure the uncertainty of benefit and cost estimates given: 1) the likelihood that estimates will meet original projections and 2) the likelihood that estimates will be tracked over time. TEI risk factors are based on "triangular distribution."

Financial Terminology

Present value (PV)

The present or current value of (discounted) cost and benefit estimates given at an interest rate (the discount rate). The PVs of costs and benefits feed into the total NPV of cash flows.

Net present value (NPV)

The present or current value of (discounted) future net cash flows given an interest rate (the discount rate). A positive project NPV normally indicates that the investment should be made unless other projects have higher NPVs.

Return on investment (ROI)

A project's expected return in percentage terms. ROI is calculated by dividing net benefits (benefits less costs) by costs.

Discount rate

The interest rate used in cash flow analysis to take into account the time value of money. Organizations typically use discount rates between 8% and 16%.

Payback

The breakeven point for an investment. This is the point in time at which net benefits (benefits minus costs) equal initial investment or cost.

Appendixes

APPENDIX A

Total Economic Impact

Total Economic Impact is a methodology developed by Forrester Research that enhances a company's technology decision-making processes and assists solution providers in communicating their value proposition to clients. The TEI methodology helps companies demonstrate, justify, and realize the tangible value of business and technology initiatives to both senior management and other key stakeholders.

APPENDIX B

Endnotes

[1] Total Economic Impact is a methodology developed by Forrester Research that enhances a company's technology decision-making processes and assists solution providers in communicating their value proposition to clients. The TEI methodology helps companies demonstrate, justify, and realize the tangible value of business and technology initiatives to both senior management and other key stakeholders.

Disclosures

Readers should be aware of the following:

This study is commissioned by MetricStream and delivered by Forrester Consulting. It is not meant to be used as a competitive analysis.

Forrester makes no assumptions as to the potential ROI that other organizations will receive. Forrester strongly advises that readers use their own estimates within the framework provided in the study to determine the appropriateness of an investment in Enterprise GRC. For any interactive functionality, the intent is for the questions to solicit inputs specific to a prospect's business. Forrester believes that this analysis is representative of what companies may achieve with Enterprise GRC based on the inputs provided and any assumptions made. Forrester does not endorse MetricStream or its offerings. Although great care has been taken to ensure the accuracy and completeness of this model, MetricStream and Forrester Research are unable to accept any legal responsibility for any actions taken on the basis of the information contained herein. The interactive tool is provided 'AS IS,' and Forrester and MetricStream make no warranties of any kind.

MetricStream reviewed and provided feedback to Forrester, but Forrester maintains editorial control over the study and its findings and does not accept changes to the study that contradict Forrester's findings or obscure the meaning of the study.

MetricStream provided the customer names for the interviews but did not participate in the interviews.

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